

DaVita Earnings Call Analysis

Q3 & Q4 2024 Transcript Analysis

Question 1: What phrases were consistent with the previous quarter commentary?

In both Q3 and Q4 2024, DaVita consistently emphasized returning to their "historic pre-pandemic multi-year guidance" for adjusted operating income growth of 3% to 7%. In Q3 2024, management stated they "expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance," and in Q4 2024 reiterated "we continue to have confidence in delivering adjusted OI growth in our target range of 3% to 7% for the years ahead." Both quarters consistently mentioned elevated mortality rates as an ongoing challenge, with Q3 noting "elevated mortality continues and hasn't gone back to pre-COVID levels" and similar messaging in Q4. The company also maintained consistent guidance on their Integrated Kidney Care (IKC) segment across both quarters, with Q3 2024 projecting a "\$50 million full-year operating loss" for IKC and Q4 2024 reporting actual results of a "\$35 million" operating loss, which was "in line with our expectations." Additionally, both quarters emphasized their disciplined capital allocation strategy focused on share repurchases and maintaining leverage in the 3.0-3.5x EBITDA range.

Question 2: What phrases were different from the previous quarter commentary?

A major shift from Q3 to Q4 2024 was the move from preliminary commentary to formal guidance. In Q3 2024, management stated "it is too early to give formal guidance" for 2025, but by Q4 2024 they provided specific "2025 adjusted operating income guidance is \$2.01 billion to \$2.16 billion" representing "5.2% year-over-year growth" at the midpoint. The tone around volume also evolved - Q3 2024 maintained expectations of "0.5% to 1%" volume growth for 2024, while Q4 2024 reflected on actual performance noting "volume growth was positive for the first year since the pandemic, growth for the full year was below our expectations." Another key difference was the resolution of the Baxter supply chain issue: Q3 2024 discussed ongoing challenges with the facility closure and expected "\$10 million-\$20 million" Q4 impact, while Q4 2024 reported the actual impact was only "\$6 million" and stated "by year-end 2024, we had resumed admitting new home patients at historical rates." The depreciation outlook also changed - Q3 indicated it would be "flat to down" for 2025, while Q4 provided more specific guidance on various cost components.

Question 3: Was guidance revised? Why?

Yes, guidance evolved significantly between quarters. In Q3 2024, DaVita reaffirmed its 2024 guidance with "adjusted OI guidance range of \$1.91 billion to \$2.01 billion" and stated "it is too early to give formal guidance" for 2025, though they provided directional commentary on headwinds and tailwinds. By Q4 2024, the company delivered actual 2024 results of "\$1.98 billion" in adjusted OI (in the top half of guidance) and provided formal 2025 guidance of "\$2.01 billion to \$2.16 billion" for adjusted OI and "\$10.20 to \$11.30" for adjusted EPS. The guidance was established after gaining clarity on several key factors mentioned in Q3, including the resolution of the Baxter supply disruption (which had less impact than

feared), better visibility into the CMS ESRD final rule impact, and completion of open enrollment periods. Management noted in Q4 2024 that the guidance "comes on the heels of a strong 2023 and 2024, years in which we exceeded the top end of our original guidance ranges despite weak volume growth by driving strength in other components of our core and ancillary businesses," reflecting increased confidence in their ability to execute despite volume headwinds.

Question 4: What did the company say was going well?

In Q3 2024, DaVita highlighted strong performance in several areas: adjusted operating income was "\$535 million" and the company remained "on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures." Revenue cycle operations were performing exceptionally well, with "revenue per treatment was up more than \$4 versus the second quarter" and full-year RPT growth expected in the "3.5% to 4%" range. International operations showed "strong operational performance" and IKC results "benefited from annual truing-up with payers and lowered costs." In Q4 2024, the successes continued with full-year results showing "adjusted operating income and adjusted EPS in the top half of our guidance range with year-over-year growth of 21% and 26%, respectively." Management specifically praised their resilience in handling challenges, noting "enhanced collection performance and contracting propelled higher revenue per treatment growth, offsetting slower-than-expected rebound in treatment volume." The international expansion was also progressing well, with three of four Latin America acquisitions closed and the company successfully managing the Baxter supply disruption better than expected, with only "\$6 million" impact versus the anticipated "\$10 million-\$20 million."

Question 5: What did the company say needed improvement?

The most significant area needing improvement across both quarters was treatment volume growth. In Q3 2024, management acknowledged "treatment volume growth remains a challenge" with quarter-over-quarter volume "flat" and affected by "elevated mortality and slightly higher mistreatment rates." In Q4 2024, they reported that "volume growth was positive for the first year since the pandemic, growth for the full year was below our expectations," with Q4 treatment volume increasing only "30 basis points" year-over-year while "treatments per day declined 80 basis points." The company cited multiple headwinds including "missed treatments were higher than expected, primarily as a result of severe weather events driving a 40-basis-point reduction" and ongoing "mortality and mistreatment rates remain elevated in the fourth quarter." Cost pressures also remained a concern, with Q3 2024 noting "patient care cost per treatment increased \$2 sequentially" primarily due to "continued labor cost pressure plus higher medical benefits expense" and "G&A; costs increased by \$19 million quarter-over-quarter." The company expected these challenges to persist into 2025, with management stating in Q3 that "we expect mortality will remain elevated in 2025" and the "full-year impact of the expiration of our 2% interest rate caps will negatively impact EPS."

Question 6: What are announcements or goals stated for the next quarter?

In Q3 2024, DaVita provided directional commentary for 2025 while deferring formal guidance, stating "we will provide formal 2025 guidance on the Q4 earnings call consistent with our normal cadence." They outlined several expected headwinds including "mortality will remain elevated in 2025," the "impact of the Baxter facility closure will continue in 2025," and "the full-year impact of the expiration of our 2% interest rate caps will negatively impact EPS." For tailwinds, they cited "declining center closure costs in 2025" and "positive OI impact from our international business driven by our Latin America acquisitions," plus potential benefits if "the inclusion of orals in the bundle would be a tailwind if the pharma companies are unable to get legislation passed to delay the inclusion." By Q4 2024, formal guidance was announced: "2025 adjusted operating income guidance is \$2.01 billion to \$2.16 billion" (5.2% growth at midpoint) and "adjusted earnings per share is \$10.20 to \$11.30" (11% growth at midpoint). The company also guided to

free cash flow of "\$1 billion to \$1.25 billion" and stated "a priority for 2025 will, of course, continue to be an intense focus on volume as we believe in an eventual return to a 2% growth trend, recognizing timing is difficult to predict."

Question 7: How does the company expect to improve Sales and Margins?

DaVita's margin improvement strategy focuses on multiple levers despite volume headwinds. In Q3 2024, management emphasized they were "mitigate the volume headwinds with margin expansion, including the momentum of our IKC and International results" and highlighted strong revenue per treatment (RPT) growth of "3.5% to 4%" for full-year 2024, with expectations that "RPT and PCC growth, we expect both to be elevated relative to pre-COVID levels" in 2025. In Q4 2024, they noted "enhanced collection performance and contracting propelled higher revenue per treatment growth, offsetting slower-than-expected rebound in treatment volume," with collections improvement worth "on the order of \$50 million" annually. On the cost side, the company emphasized "continue our track record of identifying efficiencies and executing on cost-saving initiatives" with depreciation expected to decline as "center closure costs" decrease in 2025. International expansion is expected to contribute "approximately \$50 million of year-over-year adjusted OI growth" through "Latin America acquisitions" and recovery from Brazil receivables issues. Management stated in Q4 2024 their commitment to "operating excellence and innovation" and would "continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders."

Question 8: How does the company expect to improve Free Cash Flow and what is Capex expected to be over the next quarter or next 12 months?

In Q3 2024, DaVita reported year-to-date "free cash flow was \$555 million" for the quarter and maintained full-year guidance of "\$950 million to \$1.2 billion." The company demonstrated strong capital returns with "2.7 million shares" repurchased in Q3 plus "approximately 600,000 shares to date in October." For Q4 2024, actual results showed "free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year," exceeding the midpoint of guidance. Looking forward to 2025, management provided "free cash flow guidance for 2025 is \$1 billion to \$1.25 billion" in Q4 2024. However, specific capital expenditure guidance for the next quarter or 12 months is not explicitly detailed in the provided transcripts. The company did note that leverage ended Q3 at "3.17 times EBITDA" and Q4 at "just over three times EBITDA," both within their target range of "3 times to 3.5 times EBITDA." Management reiterated in Q4 that "we will prioritize capital-efficient growth opportunities, target leverage between three and three and a half times EBITDA, and otherwise, return capital to shareholders in the form of share repurchases," with "2.3 million shares" repurchased in Q4 and "approximately 800,000 additional shares" since the start of 2025.

Question 9: What's the company's assessment of the consumer and economy?

The provided transcripts do not contain extensive commentary on the broader consumer environment or macroeconomic conditions. The focus is primarily on healthcare-specific factors affecting dialysis services. In Q3 2024, management noted "persistent cost pressures in labor and G&A," suggesting tight labor markets, and discussed "continued labor cost pressure plus higher medical benefits expense in the quarter." The company also referenced broader industry challenges including elevated mortality rates and supply chain disruptions from Hurricane Helene affecting Baxter's facility. In Q4 2024, they noted ongoing labor pressures with costs "continuing to anticipate some higher pressure than we saw pre-COVID." The company did not provide specific assessment of consumer spending patterns, unemployment, or broader economic indicators. Their business model appears relatively insulated from typical consumer economic cycles given the medical necessity of dialysis services, though they did reference payer mix dynamics and Medicare Advantage penetration. The lack of economic commentary suggests DaVita's performance is more driven by clinical/demographic factors (mortality rates, patient acuity) and regulatory/reimbursement changes rather than traditional economic indicators.

Question 10: Was there mentions around restructuring or distress? -Layoffs, dispositions, refinancing challenges, etc.

Yes, there were mentions of restructuring activities, though not indicators of financial distress. In Q3 2024, DaVita completed significant refinancing activity: "we successfully completed two debt transactions totaling \$2.1 billion" with "proceeds from these deals were used in part to repay our Term Loan B maturing in 2026, now making our nearest debt maturity 2028." This was a proactive refinancing to extend maturities, not a distress situation, as "leverage at the end of Q3 was 3.17 times EBITDA" which remained "below the midpoint of our target range of 3 times to 3.5 times EBITDA." The refinancing did result in higher interest costs as "our 2% interest rate caps expired at the end of June and our current caps have a weighted average rate of approximately 4.3%" causing "third quarter debt expense was \$37 million higher than in Q2." There were also operational restructuring activities with "depreciation and amortization increased by \$11 million in Q3 versus Q2 as a result of higher center closure costs," though Q4 noted these costs declining going forward. In Q4 2024, the company took a "\$19 million reserve recorded against aged

accounts receivable in Brazil" as part of their international operations. However, there were no mentions of layoffs, significant dispositions, or refinancing challenges - the company maintained its dividend and continued aggressive share repurchases throughout both quarters.

Executive Summary

Key Findings from DaVita Q3 & Q4 2024 Earnings Analysis:

Overall Trajectory: DaVita successfully delivered double-digit adjusted OI growth of 21% and EPS growth of 26% in 2024, landing in the top half of guidance ranges despite significant operational challenges including volume headwinds, Hurricane Helene supply chain disruption, and elevated mortality rates. The company demonstrated strong execution and resilience.

Major Challenges: Treatment volume growth remained the most significant headwind, with full-year growth below expectations despite being positive for the first time since the pandemic. Q4 volumes grew only 30 basis points year-over-year, impacted by elevated mortality rates (not yet returned to pre-COVID levels), higher missed treatment rates from severe weather (40 bps impact in Q4), and constraints on new peritoneal dialysis patient starts due to Baxter facility closure.

Success Areas: Revenue per treatment (RPT) growth of 3.5-4% driven by enhanced collection performance (~\$50M annual benefit) and favorable contracting, International operations showing strong performance with Latin America expansion, Integrated Kidney Care segment performing in line with expectations (\$35M loss vs \$50M guidance), and successful management of Baxter supply disruption with only \$6M impact vs. \$10-20M expected.

Strategic Actions: Completed \$2.1 billion refinancing extending debt maturities to 2028, repurchased 5.0 million shares in Q3-Q4 plus 800K in early 2025, closed 3 of 4 Latin America acquisitions with Brazil expected mid-2025, and maintained disciplined cost management despite labor and G&A pressures.

2025 Outlook: Adjusted OI guidance of \$2.01-2.16 billion (5.2% growth), adjusted EPS guidance of \$10.20-11.30 (11% growth), free cash flow of \$1.0-1.25 billion. Company expects continued elevated mortality, ongoing Baxter impact, full-year effect of expired interest rate caps as headwinds, offset by declining center closure costs, international expansion contribution (~\$50M), and potential orals-in-bundle tailwind.

Financial Position: Leverage at 3.0x EBITDA (within target range of 3.0-3.5x), strong cash generation enabling aggressive capital returns, no signs of financial distress despite refinancing activity and interest rate cap expirations. Company remains committed to 3-7% adjusted OI growth target range and double-digit EPS growth through continued operational excellence and share repurchases.